

ECON 100B: Macroeconomics

Class 1: Introduction

Ryan D. Edwards
January 20, 2026

Agenda

- Announcements
- Introductions
- Walkthrough of bCourses —> Google Drive: calendar, syllabus, FAQ
- Course requirements
- Gentle guidance
 - Electronic devices during class
 - Generative AI
- Grading schemes
- Material

Spring 2026 FAQ and classroom disruptions

Q: What should I do if Immigration and Customs Enforcement (ICE) enters the lecture hall?

A: Per the UC FAQ, ICE may enter classrooms when class is in session, but only with a warrant.

As the course instructor, I will gently ask ICE officers to please show their warrant if they seek to enter.

Without a warrant, they must ask permission, or they may wait until class is not in session. My advice is to remain calm and peacefully permit ICE agents to do what they intend to do.

Observe and be safe. If ICE visits, then we will adjourn class once ICE leaves, and later we will adapt our plans.

Announcements

- Sections will start this week. Please check bCourses announcements
- ECON 100B is social science, so “politics” can’t really be removed from studies. There’s no hiding from policy, opinion, and life
 - Students’ scores and grades will only be set based on their performance on assignments, and will never be set based on their political opinions
 - Class should be a place where all opinions and thoughts can be respectfully conveyed
 - I have my own opinions, and you should too. We’ll focus on learning objectives, which involve priors, perceptions, and **empirical tests**

Introductions

It is our great pleasure to serve as your instructors



Ryan
Edwards



Max Schwarz
Lead GSI



Jacob Bjurström
UGSI



Evelyn Cheng
UGSI



Giselle Eger-Slobig
UGSI



Tucker Gauss
UGSI



Henry Link
UGSI



Jianmeng Lyu
GSI



Anubhava Singla
GSI



Felix Zhang
UGSI

Where is everything?!

Always start with bCourses

Course requirements F25

Plagiarism quiz online on bCourses	1%
Class participation via Poll Everywhere	4%
4 problem sets, <i>graded for completion</i>	25%
Midterm exam in-class	25%
Take-home midterm essay (1 page)	10%
Final exam during finals week	25%
Take-home final essay (1 page)	10%
<i>Extra credit for in-person attendance via Poll Everywhere</i>	1%

Poll Everywhere for Q&A and participation

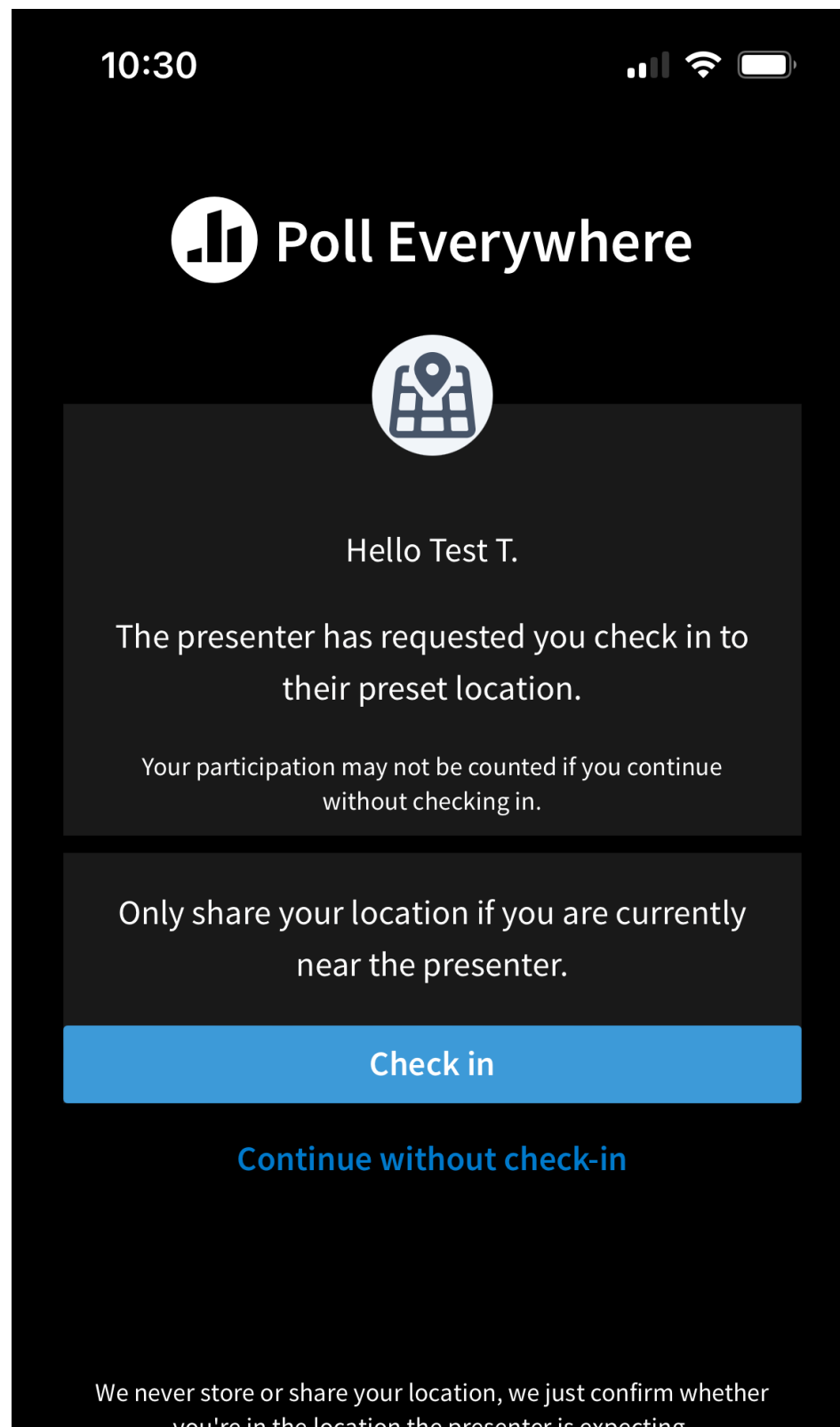
- Navigate to <https://pollev.com/ryanedw>
- RTL has a page for [students getting started](#)
- Students seem to prefer the smartphone app
- You can also use SMS text msg, but you might face carrier fees
- Tips: Log out, log back in. Sign up with @berkeley.edu account

Poll Everywhere housekeeping

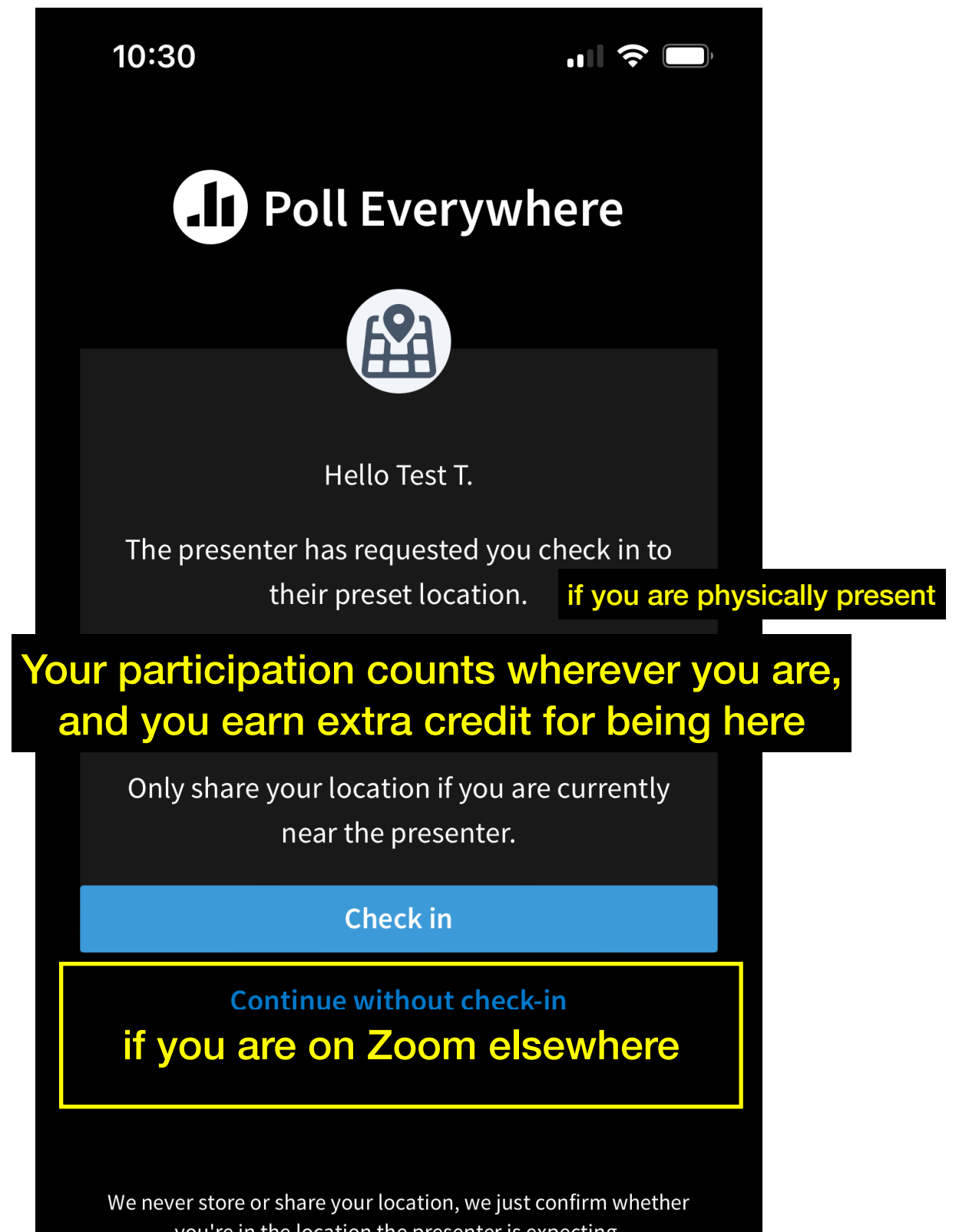
- Technical difficulties? Please see the FAQ, don't email me
- Errors? Other things? Fill out the **Excusal Form**, linked on the main bCourses page
- You get **2 unexcused absences** out of the remaining classes when I run Poll Everywhere
- (Excused absences for sickness, athletics, etc., are extra and do not burn your 2 unexcused absences)

You get full credit for participating *wherever you are*. Extra credit for “Check in” and being geolocated here

What it says



What it *SHOULD* say



Up to 1% extra credit for physical attendance

- “Check in” and answer Poll Everywhere questions for 1% extra credit
- Both [Participation](#) and Physical Attendance are scaled credit
 - We expect 25 class meetings in total, 23 starting in the 2nd week
 - With 2 free unexcused absences, there are **21 classes** of participation
 - Suppose a student physically attends and participates in 10 classes, and in 5 other classes they participate from their dorm room
 - They earn $15/21 = 71\%$ of the participation credit, worth up to 4% of grade
 - They earn $10/21 = 48\%$ of the extra credit, worth up to 1% of grade *extra*
 - In bCourses, PEPPAEC will show you this as points out of a max of 21, like $26.25/21 = 125\%$

Laptops and devices are encouraged. Also, they might harm

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Contents lists available at [ScienceDirect](#)

Economics of Education Review

journal homepage: www.elsevier.com/locate/econedurev



The impact of computer usage on academic performance: Evidence from a randomized trial at the United States Military Academy[☆]



Susan Payne Carter, Kyle Greenberg*, Michael S. Walker

United States Military Academy, 607 Cullum Road, West Point, NY 10996, USA

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ABSTRACT

We present findings from a study that prohibited computer devices in randomly selected classrooms of an introductory economics course at the United States Military Academy. **Average final exam scores** among students assigned to **classrooms that allowed computers** were 0.18 standard deviations **lower** than exam scores of students in classrooms that prohibited computers. Through the use of two separate treatment arms, we uncover evidence that this negative effect occurs in classrooms where laptops and tablets are permitted without restriction and in classrooms where students are only permitted to use tablets that must remain flat on the desk.

I think you should attend in person

- If you attend in person, you're forcing yourself to learn (or sleep) or **socialize**
- But different people learn in different ways, with different schedules
- A quick look at the scientific literature suggests mixed results
 - [Kofoed et al. \(2021\)](#) find negative effects of distance learning for small classes of West Point students in a pandemic RCT
 - [Fireman et al. \(2023\)](#) report small positive or zero effects of chosen distance learning in big statistics classes, after adjusting for selection

Midterm and final take-home essays

- I'll ask you to write **one page** of essay around a handful of thematically related questions
- I've done this in ECON 157 in recent terms. Students and I like it
- Don't rely on ChatGPT, but you can use it, sure. Make it a complement to your efforts, not a substitute for your efforts
- In recent terms, students appear to have used AI to write essays, and they lost points. See the "Example of a C Essay e2 f25"

ChatGPT and generative AI

- An amazing tool
- ECON 100B policies:
 - This is a **tool**, and it's also like a collaborator
 - You may use it in ECON 100B, and **you should cite your use of it**

Cite your use of ChatGPT

If it's not shameful to use it, then you should cite it

- Start with your own thoughts. Then use AI as a copy editor or research assistant. **YOU ARE THE CEO. It is your worker.** Cf ECON 157 S25
- Never copy and paste and turn in unedited ChatGPT output
- **Never** use it on an exam, when nothing networked is allowed anyway

My “pride and joy” in the Plagiarism+ quiz /s

- So this really happened
- Please don't do this
- This earns a zero on the assignment and a referral to administration

Take the quiz on bCourses

Take and retake ∞ times

It's so. Much. Fun.

Question 10

1 pts

You're short on time, and to finish your term paper, you find this handy passage in [Liu et al. \(2022\)](#) :

Faced with the severe constraints caused by the mandatory environmental regulation policy, enterprises will make decisions according to their own situation, showing heterogeneous self-selection behavior, namely, transfer, upgrading or transformation [45,46]. For small businesses, due to their financial and technical constraints, the cost of environmental regulation cannot be internalized in a short period of time, and relocation or being shut down become the main responses for dealing with the environmental regulation policy.

Here is what you write in your term paper, without the highlights:

Facing the "hard constraints" caused by imperative environmental regulation, enterprises as "economic people" will make discretionary choices according to their own conditions, showing heterogeneous self selection behavior: transfer, upgrading or transformation (Jiang Fuxin et al., 2013; Milani, 2017). For small enterprises, due to financial and technical constraints, it is impossible to internalize the costs caused by environmental regulation.

(The highlights are what TurnItIn reveals.) Although you cited two sources cited by Liu et al., you do not cite [Liu et al. \(2022\)](#) .

Is this plagiarism?

- ☐ Yes. This is "mosaic plagiarism," borrowing and inserting synonyms without attribution
- ☐ No. I have cited Jiang Fuxin et al. and Milani
- ☐ No. I have changed many specific words
- ☐ It's impossible to say

Tips about TurnItIn

- Always check your Originality Report when you submit
- Sometimes people phrase things very similar entirely by accident. Other times, chatbots phrase things identically...
- Students can submit, check, rewrite, resubmit, check, etc.
- But it is not honorable to submit someone else's work and then revise it until the TurnItIn report is clean

TurnItIn shows all your history

Grading schemes via the syllabus

- You will probably earn your “straight-percentage grade”

- This is the percentage of weighted points you have earned

- bCourses shows you a running estimate

- I look at the second decimal place and round

93.25 → A

93.24 → A–

From	To	Earns
96.7	100.0	A+
93.3	96.6	A
90.0	93.2	A–
86.7	89.9	B+
83.3	86.6	B
80.0	83.2	B–
76.7	79.9	C+
73.3	76.6	C
70.0	73.2	C–
60.0	69.9	D
0.0	59.9	F

I will also consult a curve around a B/B+

- Students will receive the better of the two grades
- I've used this policy since 2020, and here's what it likely means for you in ECON 100B:
 - Most students earn their straight-percentage grades
 - Students in the far left tail are helped by the curve
 - Students in the far left tail might not feel very helped by the curve

Takeaways

- The curve is there to help
- But I doubt you will need it
- Count on earning your straight-percentage grade
- If your score is low, please come to office hours. It is unlikely the curve will help you much, but students who submit assignments can expect to pass the course, with the curve

Break for Poll Everywhere

Start with 01.1

On to:

Eco-freako-nomics

To understand economics, read the *Wall Street Journal* and the *New York Times*. Both are free to Berkeley students

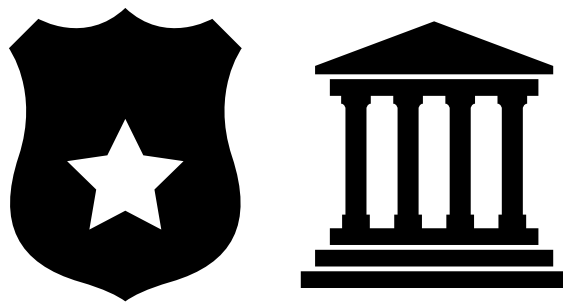
- Beware the Opinion sections of both
- Only read the opinions “by The Editorial Board” when you’re over 21 and after either a stiff drink or a token
- By contrast, the **reporting** in both is usually excellent
- Opinions authored by other people can be good
- Here’s a pretty good one: “You Can’t Break the Laws of Economics,” Brian Albrecht 8/18/25

(... so there apparently are laws that you can break?)

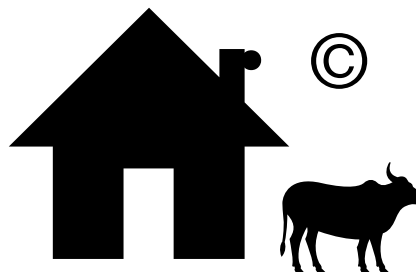
Lesson 0

- For economic agents to be productive in markets and respond to prices, typically we need “institutions” or “social infrastructure”

Rule of law



Property rights



Protection from government



Without these basic elements, how can markets prosper?

Badly.

Seems like ancient history, but it was just last week

- [Substack Statement on the Federal Reserve](#) signed by all 4 surviving chairs of the Fed Board of Governors plus past Treasury & CEA folks
- The Federal Reserve's independence and the public's perception of that independence are critical for economic performance, including achieving the goals Congress has set for the Federal Reserve of stable prices, maximum employment, and moderate long-term interest rates.
- The reported criminal inquiry into Federal Reserve Chair Jay Powell is an unprecedented attempt to use prosecutorial attacks to undermine that independence.
- This is how monetary policy is made in emerging markets with **weak institutions**, with highly negative consequences for inflation and the functioning of their economies more broadly.
- It has no place in the United States **whose greatest strength is the rule of law, which is at the foundation of our economic success.**

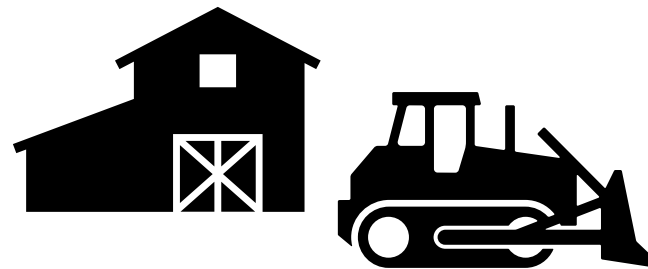
Lesson 1

- In the long run, economic well being is determined by factor inputs:

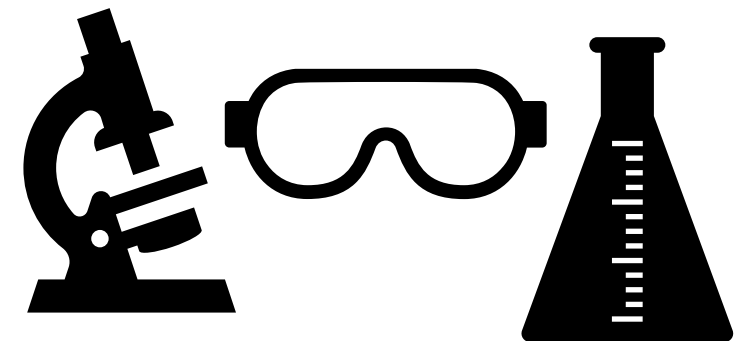
Labor



Capital

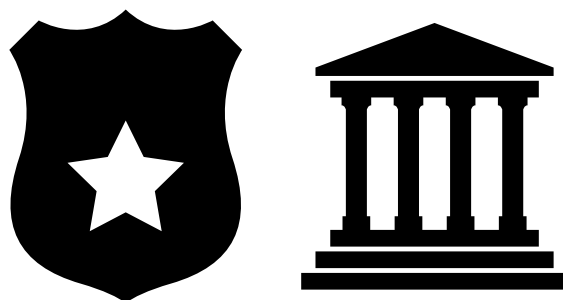


Technology

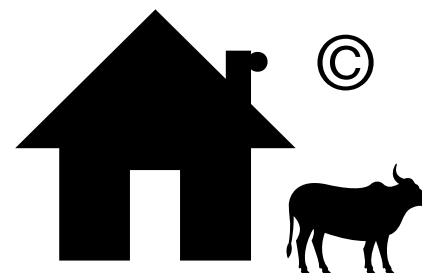


- For economic agents to produce these, typically we need “institutions” or “social infrastructure”

Rule of law



Property rights



Protection from government

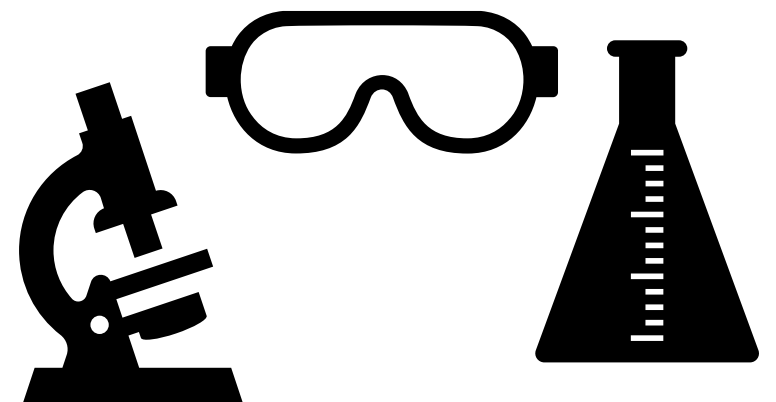


Lesson 2

- Improvements in average labor productivity are the key source of long-run growth,



- and capital accumulation and technological progress are the key sources of improvements in average labor productivity.

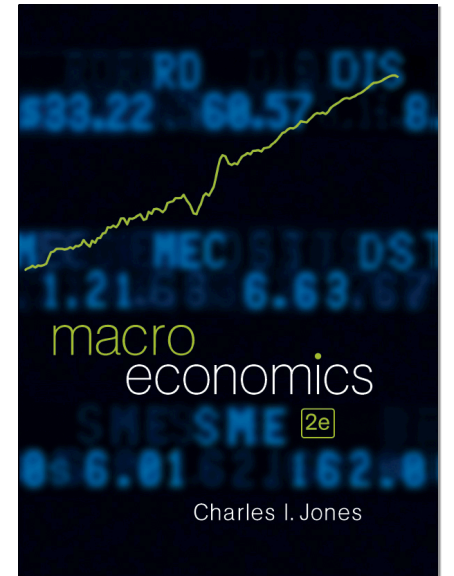


Class #1 Overview

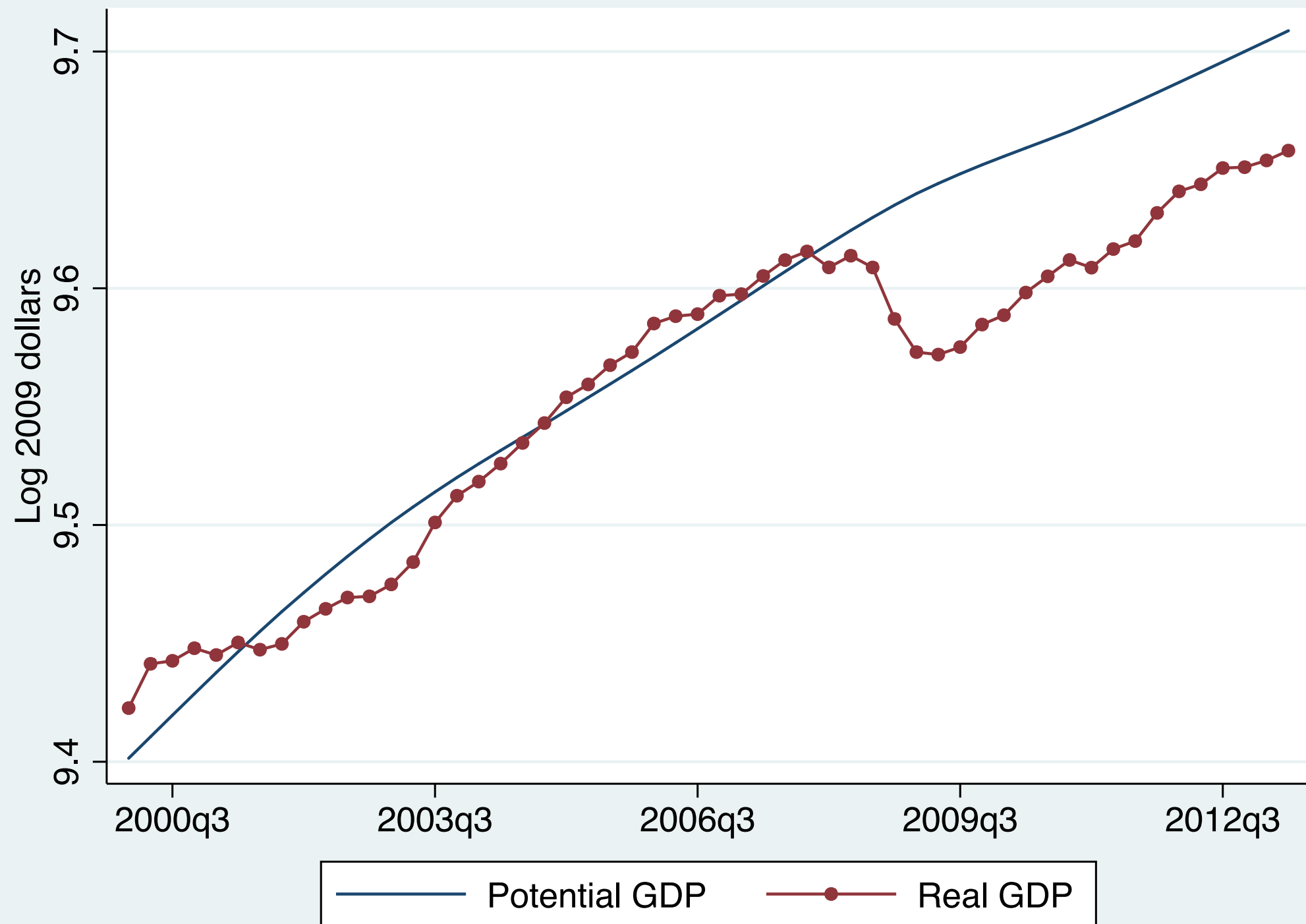
- Introductions
- Course syllabus, requirements, advice
- Plug for coming to office hours
- Introduction to Macroeconomics:
motivating the approach and this course
- Some **current events**

Textbook

- *Macroeconomics* by Charles Jones
 - Which **edition**? Your choice:
First, Economic Crisis Update, Second, Third
 - But watch the chapter numbers, which vary
- Places to buy this (you *can* buy the international version)
 - At the QC bookstore (basement of Student Union)
 - On _____, Craigslist or anywhere else
 - *In the form of an e-Book* (www.nortonebooks.com)
- I think there should be some on reserve @ library

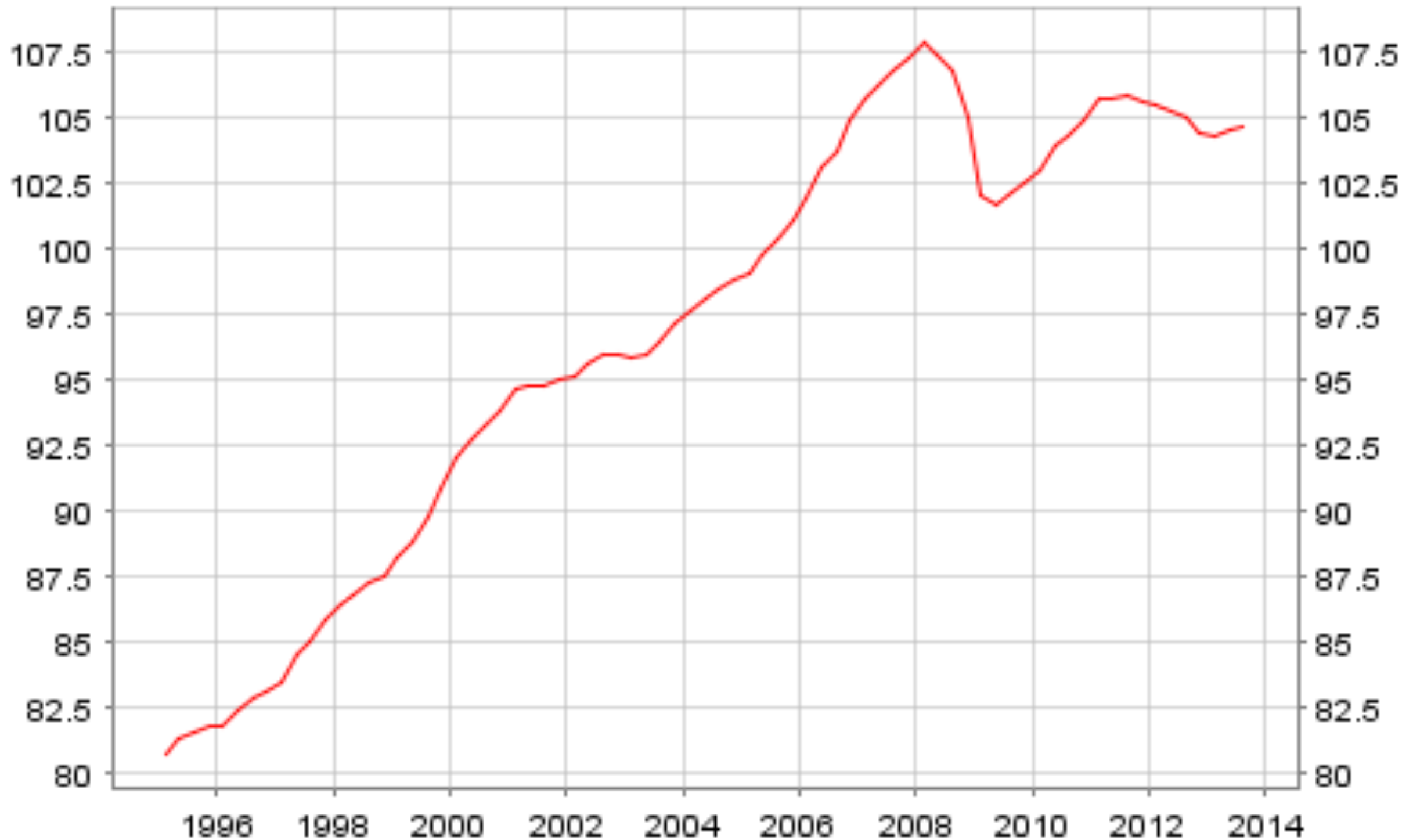


Current events in 2014

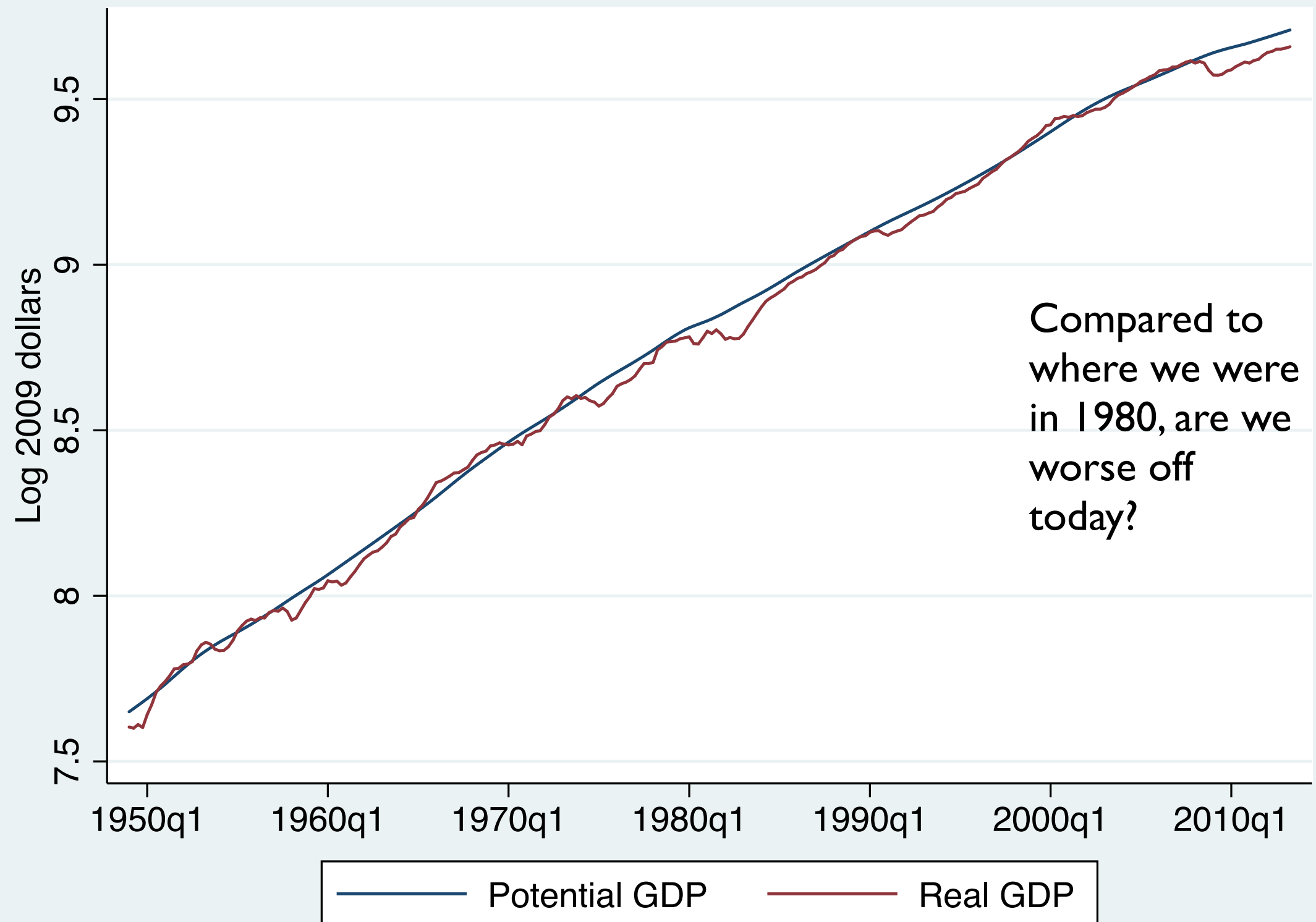


- In late July 2013, the government announced that the nation's real economic output (GDP) grew 1.7% in the second quarter of 2013
- Does it look like we are living up to our “potential”?

Data from Eurostat show that Euro-area GDP double-dipped and *still has not recovered!*



What if I show you more history?



What is macroeconomics?

- Macroeconomics is the science of informing government policy along two dimensions:
- We want to understand what improves living standards in the long run: the determinants of economic growth
- We also want to understand short-run fluctuations: recessions and expansions

Examples of real-world macroeconomics

- 2001 recession and income tax cut (*short run*)
 - ▶ Slow-down in economic activity by March, 2001
 - ▶ In August the Treasury mailed out rebate checks of \$300 for everyone
- 2003 tax cut (*long run*)
 - ▶ Congress lowered taxes on capital income to raise saving
- 2008 recession and income tax cut (*short run*)
 - ▶ In May 2008 the Treasury mailed out rebate checks of \$600 *or less*
- 2009 recession and fiscal stimulus plan (*short run*)
 - ▶ \$800 billion stimulus package included gov't spending and tax cuts



Department of the Treasury
Internal Revenue Service

Notice 1275 (June 2001)
Catalog Number 31980B

www.irs.gov

Notice of Status and Amount of Immediate Tax Relief

Dear Taxpayer:

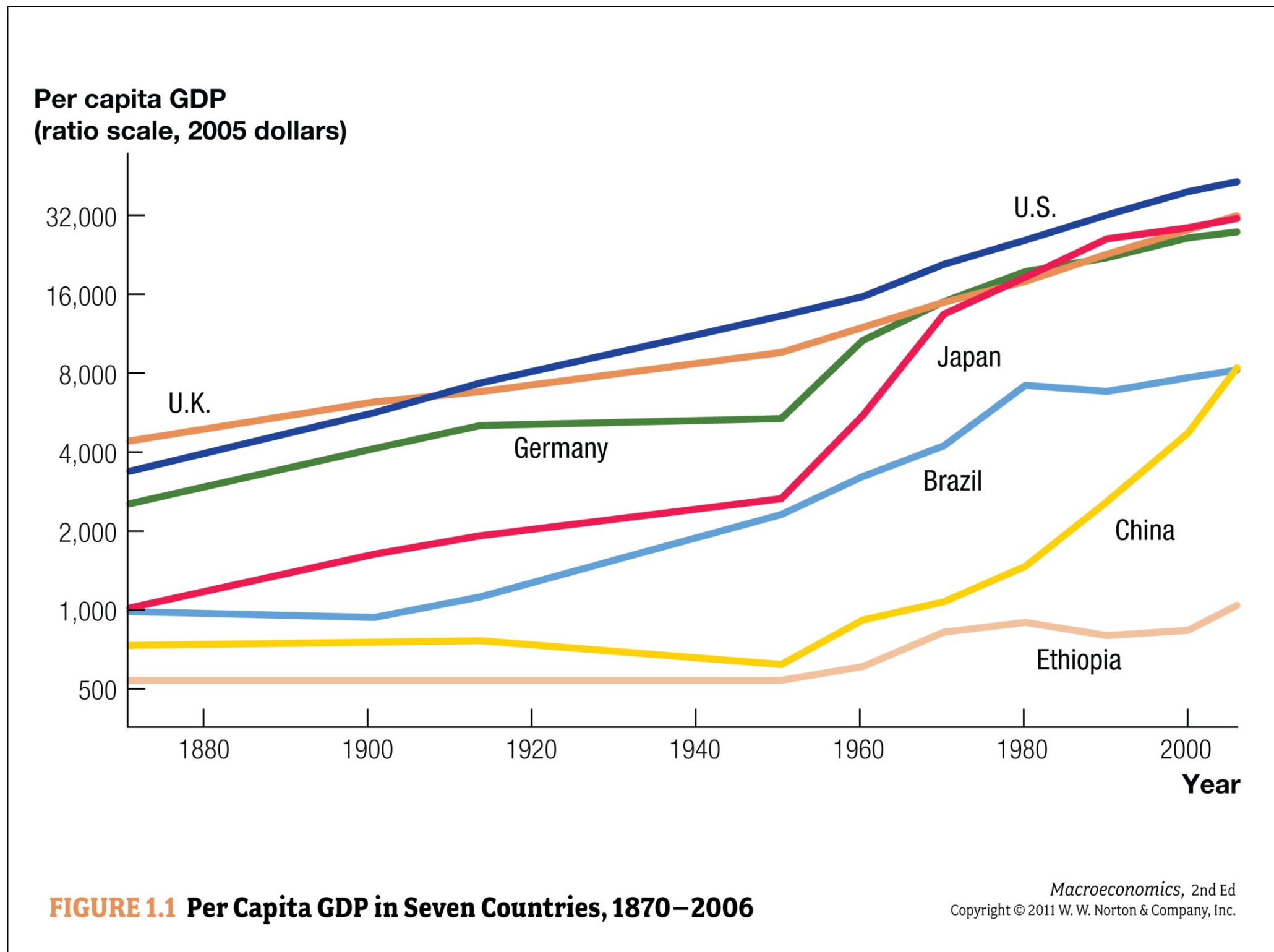
We are pleased to inform you that the United States Congress passed and President George W. Bush signed into law the Economic Growth and Tax Relief Reconciliation Act of 2001, which provides long-term tax relief for all Americans who pay income taxes.

The new tax law provides immediate tax relief in 2001 and long-term tax relief for the years to come.

As part of the immediate tax relief, you will be receiving a check in the amount of
\$300.00 during the week of 08/13/2001.

Macroeconomics helps us understand:

- Why income per person has grown so much in the U.S. since 1870
- Why income per person is so much higher in the U.S. than in Ethiopia
- Why Japan, Germany, and China grew so much faster than the U.S.



We'd also like to understand:

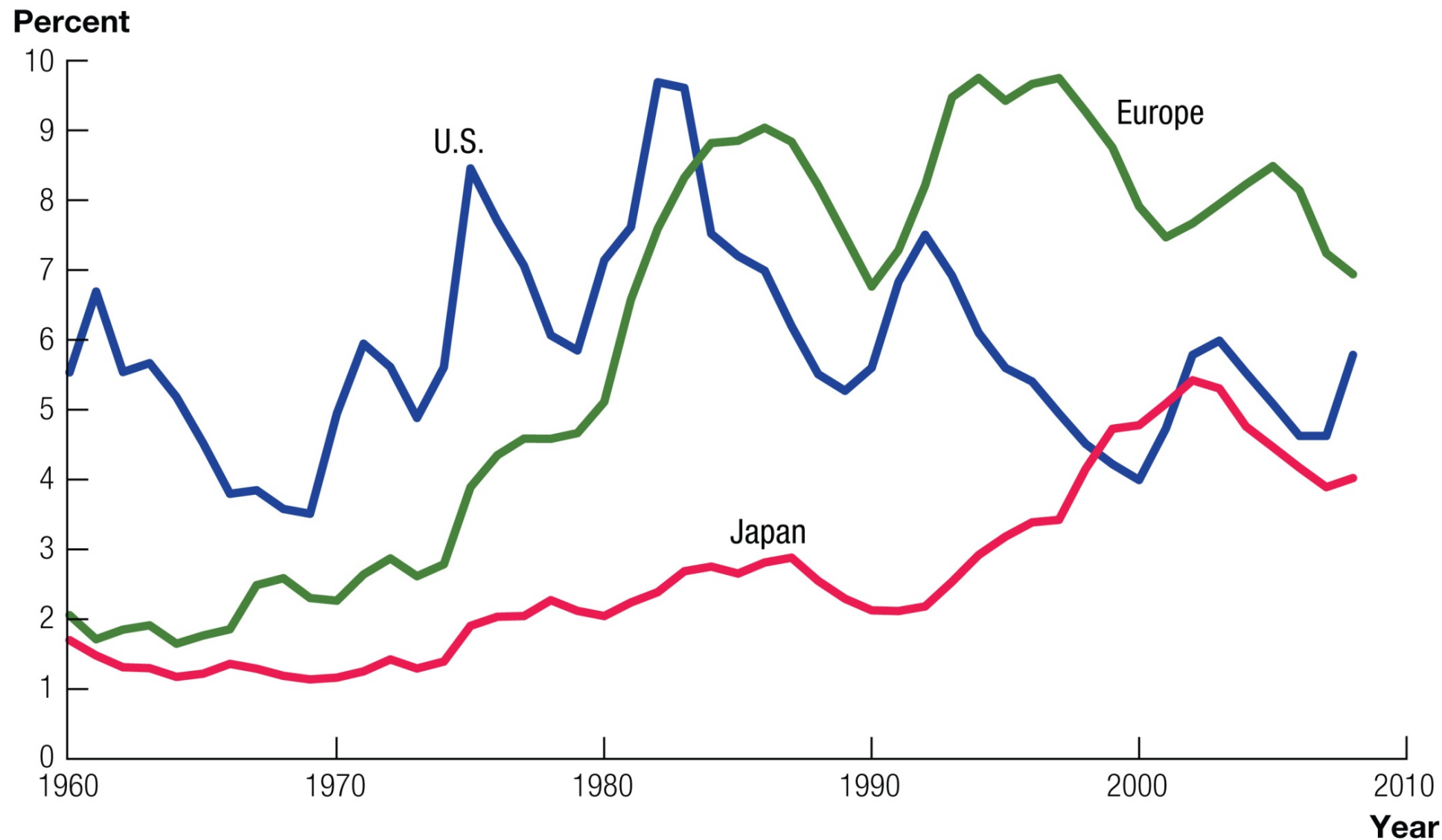


Figure 1.4 The Unemployment Rate in the United States, Europe, Japan, 1960–2008

Macroeconomics, 2nd Ed
Copyright © 2011 W. W. Norton & Company, Inc.

- Why unemployment has been higher in Europe than in the U.S. since about 1980
- Why unemployment has risen in Japan by a lot since 1990

And more questions:

- What determines inflation?
- Why was inflation so high in the 1970s?

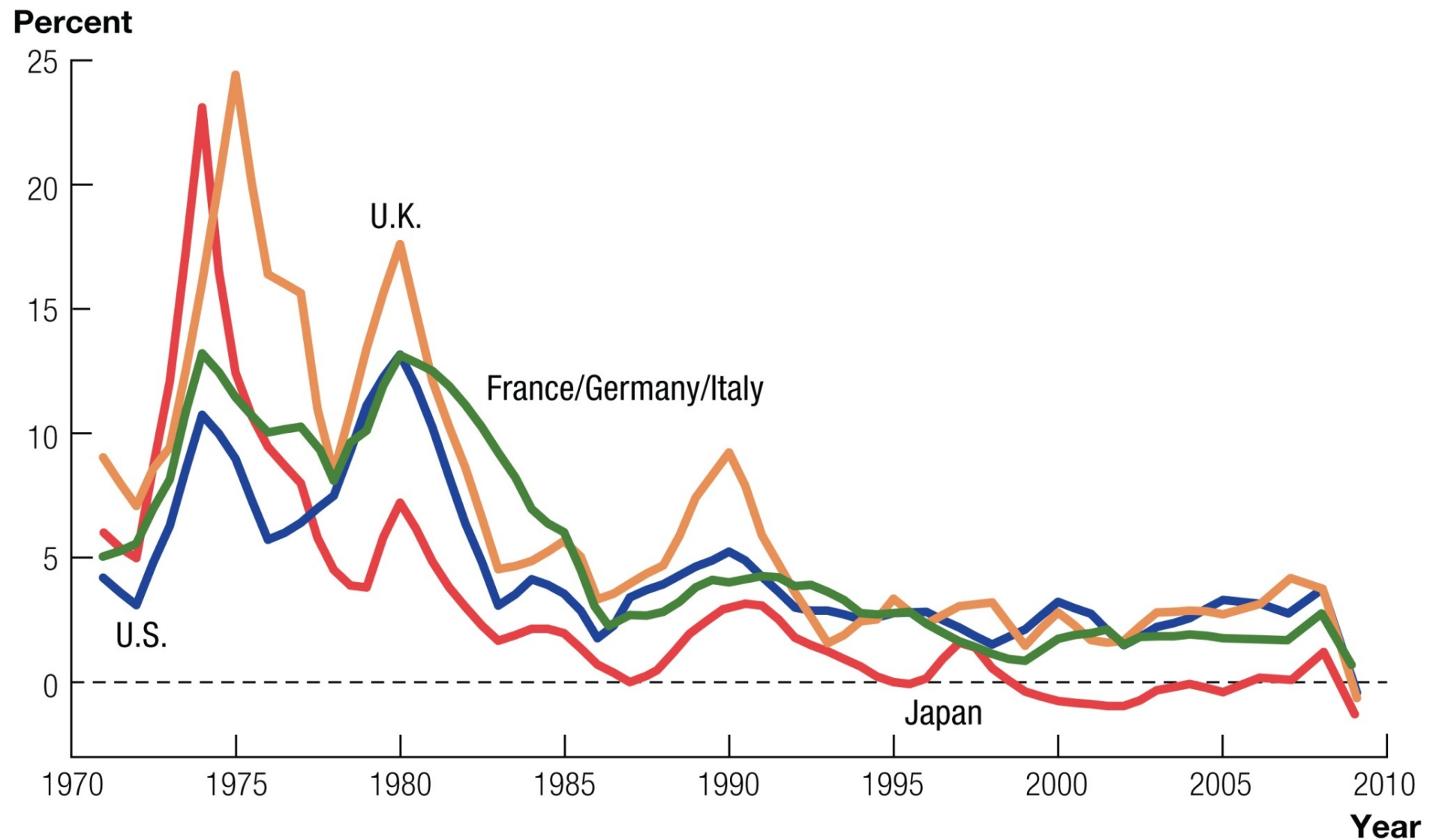
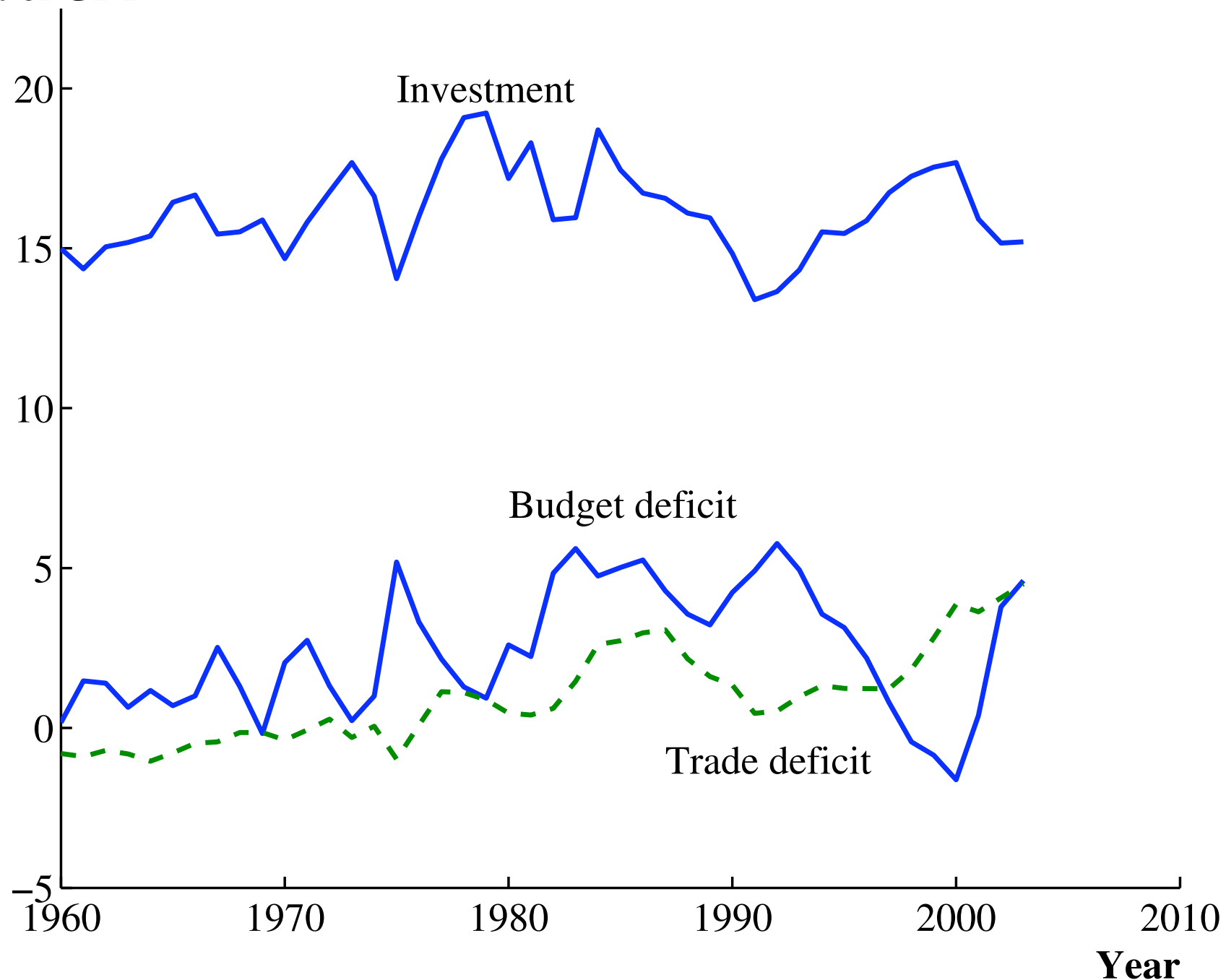


FIGURE 1.3 Inflation Rates in Certain Rich Countries, 1970–2009

Macroeconomics, 2nd Ed
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Investment, the Budget Deficit, and the Trade Deficit in the United States

Percent of GDP



- What are government budget deficits? What do they mean?
- What are trade deficits, and what do they mean?
- Is there a link between them?
- How is investment related?

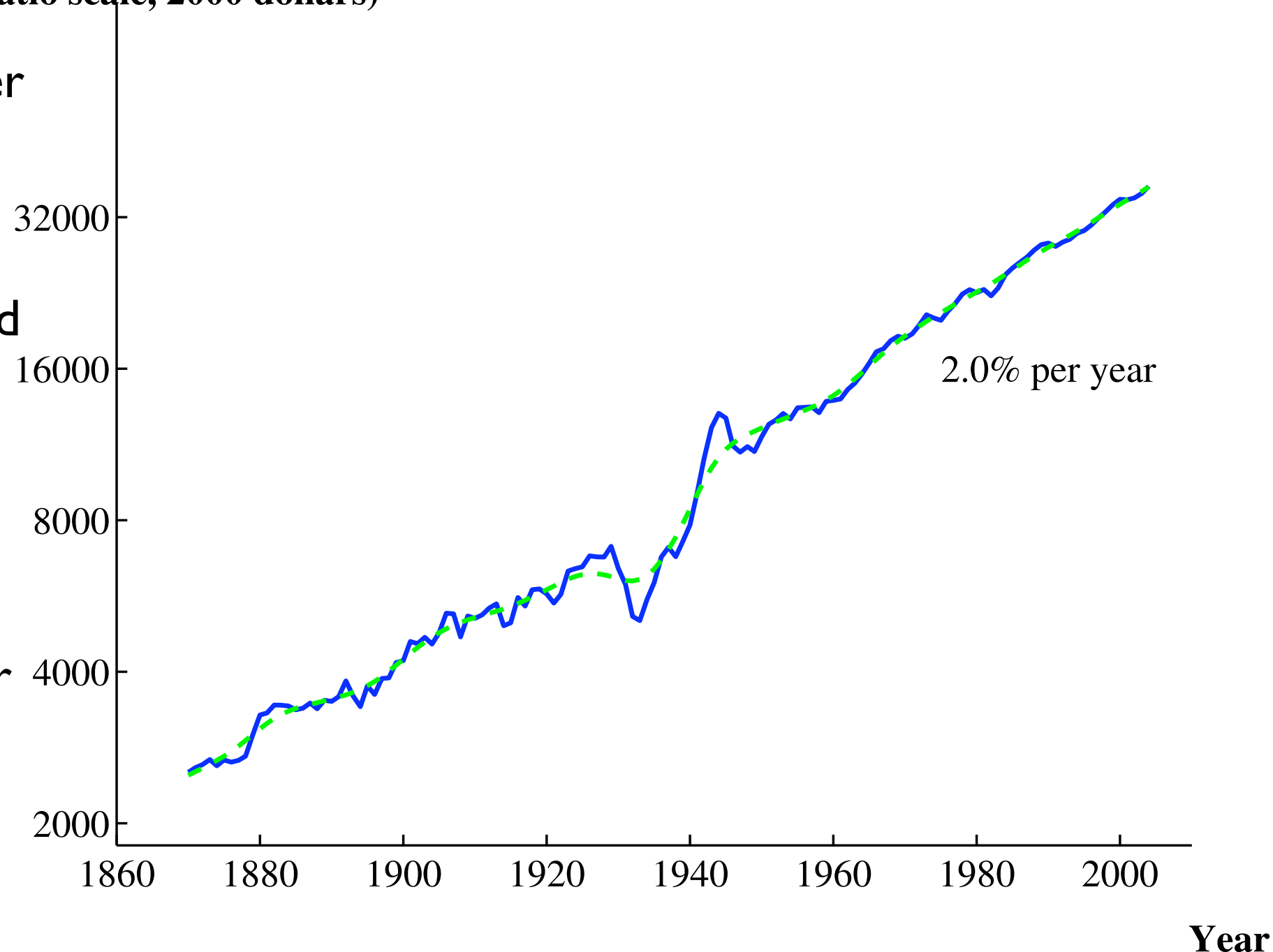
Data from the U.S. National Income and Product Accounts.

Figure 1.6: Per Capita GDP in the United States

Figure 1.6 summarizes
everything we'll study:

Per Capita GDP
(ratio scale, 2000 dollars)

- The trend in income per person since 1870 has been stable growth
- There have been big and small deviations (wiggles) that are recessions and expansions
- What is the outlook for continued growth?



Where do we go from here?

- Chapter 2 shows how we measure income
- Chapters 3–6 discuss long-run growth
- Chapters 7–8 talk about inflation and unemployment
- Chapters 9–12 discuss short-run fluctuations
- Chapter 13 talks about government budgets
- Chapters 14–15 addresses international trade and finance

Chapter numbers are probably different now!